

Class 12 Economics Study Guide (2025 Edition)

Recommended Study Material

1. Textbooks

 NCERT Macroeconomics 

 NCERT Indian Economic Development (IED) 

2. Reference Books

i. Sandeep Garg – Best book for explanation + extra questions

ii. Covers both Macroeconomics and IED

iii. Includes solved examples and HOTS

iv. TR Jain & VK Ohri (optional) – Good for schools following their teaching style

3. Question Banks

i. Physics Wallah (PW) – Well-organized, good for 1-mark and 3-mark questions

ii. Educart Sample Paper Book – Includes model answers with stepwise marking

4. Previous Year Questions (PYQs)

i. Practice at least last 5 years of CBSE Board papers

Focus on:

i. Numerical types in Macroeconomics

ii. 6-mark questions in IED (policy/economy-based questions)

 Expert Study Tips & Strategy

1. NCERT is your base

i. Highlight keywords and definitions

ii. Make notes of important graphs and policies

iii. Practice NCERT questions twice before board exams

2. Understand Graphs

i. Especially for Macroeconomics

ii. Money Supply, Demand-Supply, Aggregate Demand, etc.

iii. Practice drawing them neatly and labeling properly

3. Concept Clarity > Rote Learning

i. Understand each term (like GDP, inflation, deficit, repo rate)

ii. Use real-life examples (like GST, demonetization, COVID impact)

4. Make Chapter Summaries

i. One page per chapter

ii. Include: keywords, formulas, key definitions, data/facts

Study Time Per Day:

1 hour – Macroeconomics

1 hour – IED

Alternate days: Solve 1-mark + 3-mark questions

Time Management Plan

 Timeframe	 Task
2–3 months before board	Read NCERT line by line, complete Sandeep Garg
6–8 weeks before	Start PYQs + sample papers
Last 30 days	Solve one paper every 2 days , revise graphs and facts
Last 7 days	Focus on revision sheets, formulas, definitions, 1-mark questions

 Topper Tips from a 97% Scorer (Me)

 I revised NCERT 4 times before boards

 I practiced every graph by hand, with correct labeling

 I made keyword flashcards for definitions and policies

 I remembered data from current affairs (like GDP rates, RBI repo rate) for bonus points

 I wrote answers using headings, bullet points, and clean graphs – examiner-friendly presentation!

Not Recommended Books

Avoid these due to outdated, bulky, or unnecessary content:

 Book Name	 Reason
Oswaal Books	Overloaded with repetitive, less relevant questions
Together With	Long-winded, confusing explanations
Xam Idea	Lacks in-depth conceptual clarity
All-in-One (Arihant)	Generic explanations not suitable for a 95%+ scorer
Golden Guide	Old-style answers, no longer matches current CBSE pattern

Most Important Chapters (2025)

Macroeconomics:

Chapter	Importance
National Income	🔥 Very high (numericals + concepts)
Money & Banking	★ Medium – theory-based
Government Budget	🔥 Very high – diagram & logic
Balance of Payments	★ Medium – understanding required
Determination of Income	🔥🔥 HOTS + numericals + graph-heavy

Indian Economic Development (IED):

Chapter	Importance
Liberalisation, Privatisation, Globalisation	🔥🔥 Always in 6-marker
Poverty	🔥 Concept + government schemes
Human Capital Formation	★ Medium – theory & facts
Employment	🔥 Frequently tested
Environment	★ Usually 3-marker or MCQ
Comparative Development (India vs Neighbors)	🔥🔥 Factual + understanding combo

Macroeconomics – 40 Marks

 Chapter	 Importance	 What to Focus On
National Income and Related Aggregates	★★★★★	Numericals (NDP, NNP, GDP), conceptual differences, real vs nominal income
Determination of Income and Employment	★★★★★	AD–AS graph, equilibrium output, multiplier effect, excess/deficient demand
Government Budget and Economy	★★★★★	Types of deficit, components of budget, objectives, diagrams
Money and Banking	★★★★	Functions of money, credit creation, RBI functions
Balance of Payments (BoP)	★★★	Capital vs current account, disequilibrium, forex calculation

👉 Top 3 must-masters:

- ✓ National Income
- ✓ Income & Employment
- ✓ Government Budget

Indian Economic Development – 40 Marks

 Chapter	 Importance	 What to Focus On
Liberalisation, Privatisation, Globalisation (LPG Reforms)	★★★★★	1991 reforms, impact, WTO, MNCs, structural adjustments
Poverty	★★★★★	Absolute vs relative poverty, government schemes, causes
Employment: Growth, Informalisation, Unemployment	★★★★★	Types of unemployment, participation rate, jobless growth
Human Capital Formation in India	★★★★	Role of education and health, investment in HCF
Comparative Development: India, China, Pakistan	★★★★★	Indicators comparison (GDP, literacy, health), table-based analysis
Environment and Sustainable Development	★★★	Renewable vs non-renewable, strategies for sustainability
Rural Development	★	Role of SHGs, credit, marketing – occasional 1-3 markers

👉 Top 3 must-masters:

- ✓ LPG Reforms
- ✓ Employment
- ✓ Comparative Development

✓ Pro Tip for Targeting 95%+

- Prioritize chapters marked ★★★★★ and ★★★★★★
- For 3-marker and 6-marker questions, *revise definitions, examples, diagrams, and government policies/programs*
- Practice *graphical questions* and *data interpretation* regularly

YouTube (Free)

Teacher	Channel	Why Recommended
Anurag Pathak Sir	Anurag Pathak	Superb explanation of concepts in Hindi, great for average to topper-level students
Kritika Malik Ma'am	Kritika Ma'am - Magnet Brains	Crystal-clear teaching, beginner-friendly, covers entire syllabus free
Ritesh Sir	Study with Ritesh	Great for both IED and Macroeconomics, board-focused sessions
Sanjay Sir	Let's Learn Economy	Concept clarity + graphs + current affairs linkage (perfect for HOTS & 6-markers)

Paid Platforms (Best Value)

Platform	Teacher	Why Join
Physics Wallah (PW)	Nitin Sir / Deepak Sir	Affordable, complete syllabus with test series, notes, and doubt support
Unacademy	Harshit Sir / Pranjal Pro	Structured courses, live classes, and board-specific strategy
Vedantu	Shivani Ma'am	Interactive + practice-heavy sessions, especially good for Macroeconomics
Educart Crash Courses	N/A	Topic-wise revision and CBSE pattern questions (ideal in last 2 months)